

SYLLABUS – FOUNDATION COURSE

PAPER 1: ACCOUNTING (100 MARKS)

Objective

To develop an understanding of the basic concepts and principles of accounting and apply the same in preparing financial statements and simple problem solving.

Contents

1 Theoretical Framework

- i Meaning and Scope of Accounting.
- ii Accounting concepts, principles and conventions.
- iii Capital and revenue expenditure, capital and revenue receipts, contingent assets and contingent liabilities.
- iv Accounting policies.
- v Accounting as a measurement discipline – valuation principles, accounting estimates.
- vi Accounting Standards – concepts and objectives.

2 Accounting Process

- i Recording accounting transactions: principles of double entry book-keeping, books of original entry – journal, subsidiary books, cash book, ledger-format, posting from journal and subsidiary books, balancing of accounts.
- ii Preparation of trial balance.
- iii Rectification of errors.

3 Bank Reconciliation Statement

Introduction, reasons and preparation of bank reconciliation statement.

4 Inventories

Meaning, basis and technique of inventory valuation, cost of inventory, net realizable value and record system.

5 Depreciation and Amortisation

Tangible and intangible assets-Meaning and difference, concepts, methods of computation and accounting treatment of depreciation / amortisation, change in depreciation method.

6 Bills of exchange and Promissory notes

Meaning of bills of exchange and promissory notes and their accounting treatment; accommodation bills.

7 Preparation of Final accounts of Sole Proprietors

Elements of financial statements, closing adjustment entries, trading account, profit and loss account and balance sheet of manufacturing and non-manufacturing entities.

8 Financial Statements of Not-for-Profit Organizations

Significance and preparation of receipt and payment account, income and expenditure account and balance sheet, difference between profit and loss account and income and expenditure account.

9 Accounts from Incomplete Records (excluding preparation of accounts based on ratios).

10 Partnership and LLP Accounts

- i Final accounts of partnership firms and LLPs.
- ii Admission, retirement and death of a partner including treatment of goodwill.
- iii Dissolution of partnership firms and LLPs including piecemeal distribution of assets.

11 Company Accounts

- i Definition of shares and debentures.
- ii Issue of shares and debentures, forfeiture of shares, re-issue of forfeited shares.
- iii Redemption of preference shares and debentures (excluding purchase and redemption of own debentures and sinking fund method).
- iv Accounting for bonus issue and right issue.